

Nongfu Spring (9633.HK): 1H26 Preview: Leading position solidified across categories with strong sugar-free tea; water recovery/new

We look for Rmb29.3bn in sales and Rmb8.9bn in reported net income in 1H26E, up 14%/17% yoy, mainly driven by Tea/Juice and mild NPM expansion to 30.4% (1H25: 29.7%). We expect 1H26 sales to mainly be driven by ongoing strong momentum tea (up 22% yoy on GSE, mainly driven by c.35%+ growth in Oriental Leaf) and Juice (up 18%)/functional drinks (up 12% yoy), while packaged water (up 6% yoy) was under more impact from unfavorable weathers/industry slowdown. **That said**, we believe the company has **solidified its market position across all categories in 2026 YTD**, while cost lock-in/inventory benefits, favorable product mix and operating leveraging contributed to drive steady margin expansion.

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- **Tea- strong momentum from sugar-free tea:** We expect c.35% yoy growth for *Oriental Leaf*, vs. 3% growth for *Tea Pie* in 1H26. The sugar-free tea, *Oriental Leaf*, continued to lead in growth with promotional campaigns and new flavor launches ie. *New Season Longjing Tea*. CT Brand data showed that sugar-free tea category recorded 16.1% yoy sales growth in 2Q26 for the offline channels they tracked (limited sample base) and significantly outperformed other categories' declines. We expect *Oriental Leaf* to continue the market share gain in 1H26.
- **Water- still lapping a low base but growth under the weather:** Bottled water industry had encountered pressure especially in 2Q26 from unfavorable weather and likely consumer shift to other healthy drinks (incl. sugar-free drinks). CT Brand data showed that packaged water sales sector declined by 9% in 2Q26 yoy for the offline channels they tracked. We expect Nongfu's water to grow 6% yoy in 1H26 (vs. GSE of a SD% decline for CR Beverage's bottled water in 1H26) with still some gap vs. 1H23 level, while we noted a slower run-rate for Nongfu's water since April (see our [monthly tracker](#)).
- **Juice:** We expect continued strong growth from *100% Juice* and *NFC Juice* benefiting from increasing health awareness among consumers, together with the resilient flagship *C100* SKU to drive an 18% sales growth for Juice in 1H26.
- **Functional drinks:** we estimate roughly Rmb350mn sales in 1H26 from the successful launch of new electrolyte water since March, which helps to drive a 12% sales growth in Functional drinks segment.

Going into 2H26, we expect the company to still aim for DD% sales growth with relentless efforts on category expansion/channel penetration amid weak macro, while margin level will still be dependent on the volatility of cost trend and

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investment level offsetting product mix upgrade/operating efficiency. The key swing factors among cost items in 2H26 will not only come from volatile PET cost, but also ingredients (some agriculture goods' prices trending up YTD, ie. Jasmine on unfavorable weather disruptions in Guangxi).

Earnings and TP changes: We now look for Rmb59.4bn/18.0bn sales/reported NP in 2026, up 13%/14% yoy, factoring Rmb7,500 PET/t price in 2H26E (up c.30% yoy in 2H26E). We lower our revenue/NP estimates by c.1~2%/c.2~3% in 2026-28E, mainly on lower functional drinks/water forecasts and increase in raw material cost. Our 12m TP is down from HK\$61.6 to HK\$59.9 on updated earnings forecast, with unchanged 30x target 2027E P/E discounted back to mid-2027. Nongfu is currently trading at 23x/20x 2026E/27E P/E vs. historical average level at c.30x, and remain as one of the fastest growing beverage player in our coverage. Reiterate Buy.

The authors would like to thank Lily Qi for her contribution to this report.

Earnings Estimates Summary

Exhibit 1: Summary Financials

Nongfu Spring RMB mn															
Key drivers	2022	2023	2024	2025	2026E	2027E	2028E	1H23	2H23	1H24	2H24	1H25	2H25	1H26E	2H26E
Revenue															
Packaged drinking water products	18,263	20,262	15,952	18,709	19,877	21,152	22,495	10,442	9,820	8,531	7,421	9,443	9,267	10,037	9,840
Tea beverage products	6,906	12,659	16,745	21,596	25,464	29,377	33,490	5,286	7,372	8,430	8,315	10,089	11,508	12,308	13,156
Functional beverage products	3,838	4,902	4,932	5,762	6,651	7,426	8,177	2,458	2,444	2,550	2,382	2,898	2,864	3,246	3,405
Juice beverage products	2,879	3,534	4,085	5,176	5,952	6,815	7,633	1,686	1,848	2,114	1,971	2,564	2,612	3,026	2,927
Other products	1,354	1,311	1,182	1,309	1,427	1,555	1,664	591	720	548	634	629	680	692	735
Total	33,239	42,667	42,896	52,553	59,370	66,326	73,459	20,462	22,205	22,173	20,723	25,622	26,931	29,309	30,062
Revenue mix %															
Packaged drinking water products	55%	47%	37%	36%	33%	32%	31%	51%	44%	38%	36%	37%	34%	34%	33%
Tea beverage products	21%	30%	39%	41%	43%	44%	46%	26%	33%	38%	40%	39%	43%	42%	44%
Functional beverage products	12%	11%	11%	11%	11%	11%	11%	12%	11%	12%	11%	11%	11%	11%	11%
Juice beverage products	9%	8%	10%	10%	10%	10%	10%	8%	8%	10%	10%	10%	10%	10%	10%
Other products	4%	3%	3%	2%	2%	2%	2%	3%	3%	2%	3%	2%	3%	2%	2%
YoY Growth (%)															
Revenue															
Packaged drinking water products	7.1%	10.9%	-21.3%	17.3%	6.2%	6.4%	6.3%	11.7%	10.2%	-18.3%	-24.4%	10.7%	24.9%	6.3%	6.2%
Tea beverage products	50.8%	83.3%	32.3%	29.0%	17.9%	15.4%	14.0%	59.9%	104.8%	59.5%	12.8%	19.7%	38.4%	22.0%	14.3%
Functional beverage products	3.9%	27.7%	0.6%	16.8%	15.4%	11.7%	10.1%	21.5%	34.7%	3.8%	-2.6%	13.6%	20.3%	12.0%	18.9%
Juice beverage products	10.1%	22.7%	15.6%	26.7%	15.0%	14.5%	12.0%	32.2%	15.2%	25.4%	6.7%	21.3%	32.5%	18.0%	12.1%
Other products	-22.6%	-3.2%	-9.8%	10.7%	9.0%	9.0%	7.0%	-8.4%	1.6%	-7.2%	-12.0%	14.8%	7.3%	10.0%	8.1%
Total	11.9%	28.4%	0.5%	22.5%	13.0%	11.7%	10.8%	23.3%	33.4%	8.4%	-6.7%	15.6%	30.0%	14.4%	11.6%
Operating profit															
Packaged drinking water products	-2.0%	14.0%	-32.3%	40.9%	3.2%	2.2%	3.9%	4.3%	26.8%	-27.8%	-37.2%	22.0%	64.1%	8.3%	-1.5%
Tea beverage products	50.3%	104.2%	34.5%	37.2%	18.0%	17.2%	16.3%	56.6%	157.7%	63.1%	15.0%	31.2%	42.9%	23.6%	13.0%
Functional beverage products	-3.8%	34.8%	0.7%	29.5%	15.6%	12.4%	11.7%	16.1%	57.9%	6.5%	-4.6%	29.9%	29.1%	15.1%	16.2%
Juice beverage products	15.3%	63.0%	7.6%	74.7%	14.1%	17.8%	14.7%	51.5%	78.1%	0.4%	15.5%	60.8%	88.0%	28.1%	2.5%
Other products	24.2%	41.3%	-1.0%	19.7%	9.6%	10.8%	8.7%	93.5%	19.8%	0.1%	-1.8%	44.2%	3.1%	11.0%	8.2%
Margin															
OP margin															
Packaged drinking water products	35.3%	36.3%	31.2%	37.4%	36.3%	34.9%	34.1%	36.4%	36.1%	32.2%	30.0%	35.4%	39.4%	36.1%	36.6%
Tea beverage products	39.9%	44.4%	45.2%	48.0%	48.1%	48.8%	49.8%	43.1%	45.3%	44.1%	46.2%	48.4%	47.8%	49.0%	47.2%
Functional beverage products	40.0%	42.2%	42.2%	46.8%	46.9%	47.2%	47.9%	40.1%	44.3%	41.2%	43.3%	47.1%	46.5%	48.4%	45.4%
Juice beverage products	20.1%	26.8%	24.9%	34.3%	34.1%	35.0%	35.9%	29.5%	24.3%	23.6%	26.3%	31.3%	37.3%	34.0%	34.1%
Other products	20.7%	30.2%	33.2%	35.9%	36.1%	36.7%	37.3%	26.8%	33.0%	28.9%	36.8%	36.4%	35.4%	36.7%	35.5%
Consolidated P&L															
Total Sales	33,239	42,667	42,896	52,553	59,370	66,326	73,459	20,462	22,205	22,173	20,723	25,622	26,931	29,309	30,062
COGS	-14,144	-17,260	-17,980	-20,745	-23,342	-25,944	-28,293	-8,152	-9,108	-9,141	-8,840	-10,166	-10,579	-11,254	-12,087
Gross Profit	19,095	25,407	24,916	31,808	36,029	40,382	45,167	12,310	13,097	13,032	11,883	15,456	16,352	18,054	17,975
SG&A	-9,656	-11,446	-11,136	-12,253	-13,532	-14,997	-16,442	-5,654	-5,793	-5,885	-5,251	-6,078	-6,174	-7,063	-6,469
Selling and distribution expense	-7,821	-9,284	-9,173	-9,800	-10,870	-12,092	-13,295	-4,695	-4,589	-4,971	-4,202	-5,011	-4,790	-5,862	-5,008
Administrative expenses	-1,835	-2,162	-1,962	-2,452	-2,662	-2,906	-3,147	-959	-1,204	-913	-1,049	-1,068	-1,384	-1,202	-1,460
Other operating income/(expense)	1,063	836	1,233	849	814	804	757	459	378	490	743	374	476	402	412
EBIT	10,503	14,797	15,013	20,405	23,311	26,188	29,482	7,115	7,682	7,638	7,375	9,752	10,653	11,393	11,918
Depreciation	-2,478	-2,620	-2,863	-3,374	-3,810	-4,251	-4,712	-1,234	-1,386	-1,310	-1,553	-1,555	-1,818	-1,905	-1,905
Amortization	9	11	11	19	21	24	26	6	5	6	17	6	25	11	11
EBITDA	12,990	17,428	17,865	23,759	27,099	30,416	34,168	8,354	9,074	8,954	8,912	11,313	12,446	13,287	13,812
Net finance costs	547	892	775	513	474	618	796	410	482	504	270	282	231	237	237
Other non-op. rev/ (exp)	-	-	-	-	-	-	-	-	-	-	-	0	-	-	-
Pretax income	11,050	15,688	15,788	20,918	23,785	26,807	30,278	7,524	8,164	8,142	7,646	10,034	10,884	11,630	12,155
Provisions for taxes	-2,555	-3,609	-3,665	-5,049	-5,741	-6,471	-7,309	-1,749	-1,860	-1,903	-1,762	-2,411	-2,638	-2,733	-3,008
Minority interest (I/S item)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Reported NPAT	8,495	12,079	12,123	15,868	18,043	20,336	22,969	5,775	6,304	6,240	5,884	7,622	8,246	8,897	9,147
Less: net one-offs	246	6	40	-368	-137	-147	-157	143	-137	19	21	-91	-276	-68	-68
Recurring NPAT	8,249	12,073	12,083	16,236	18,180	20,483	23,126	5,633	6,441	6,220	5,863	7,713	8,523	8,965	9,215
EPS (Adj., diluted, RMB/Sh)	0.73	1.07	1.07	1.44	1.62	1.82	2.06	0.50	0.57	0.55	0.52	0.69	0.76	0.80	0.82
YoY Growth %															
Sales	11.9%	28.4%	0.5%	22.5%	13.0%	11.7%	10.8%	23.3%	33.4%	8.4%	-6.7%	15.6%	30.0%	14.4%	11.6%
GP	8.2%	33.1%	-1.9%	27.7%	13.3%	12.1%	11.8%	25.1%	41.5%	5.9%	-9.3%	18.6%	37.6%	16.8%	9.9%
SG&A	7.5%	18.5%	-2.7%	10.0%	10.4%	10.8%	9.6%	26.0%	12.1%	4.1%	-9.3%	3.3%	17.6%	16.2%	4.8%
Selling and distribution expense	8.1%	18.7%	-1.2%	6.8%	10.9%	11.2%	9.9%	30.0%	9.0%	5.9%	-8.4%	0.8%	14.0%	17.0%	4.6%
Administrative expenses	4.8%	17.8%	-9.2%	25.0%	8.6%	9.1%	8.3%	9.4%	25.6%	-4.7%	-12.9%	16.9%	32.0%	12.5%	5.5%
EBIT	15.7%	40.9%	1.5%	35.9%	14.2%	12.3%	12.6%	22.0%	64.5%	7.4%	-4.0%	27.7%	44.4%	16.8%	11.9%
EBITDA	13.4%	34.2%	2.5%	33.0%	14.1%	12.2%	12.3%	21.1%	48.9%	7.2%	-1.8%	26.4%	39.7%	17.4%	11.0%
NPAT	18.6%	42.2%	0.4%	30.9%	13.7%	12.7%	12.9%	25.3%	62.2%	8.0%	-6.7%	22.2%	40.2%	16.7%	10.9%
Recurring NPAT	13.3%	46.4%	0.1%	34.4%	12.0%	12.7%	12.9%	20.4%	80.4%	10.4%	-9.0%	24.0%	45.4%	16.2%	8.1%
Margins (on total sales)															
GP	57.4%	59.5%	58.1%	60.5%	60.7%	60.9%	61.5%	60.2%	59.0%	58.8%	57.3%	60.3%	60.7%	61.6%	59.8%
EBIT	31.6%	34.7%	35.0%	38.8%	39.3%	39.5%	40.1%	34.8%	34.6%	34.4%	35.6%	38.1%	39.6%	38.9%	39.6%
EBITDA	39.1%	40.8%	41.6%	45.2%	45.6%	45.9%	46.5%	40.8%	40.9%	40.4%	43.0%	44.2%	46.2%	45.3%	45.9%
NPAT	25.6%	28.3%	28.3%	30.2%	30.4%	30.7%	31.3%	28.2%	28.1%	28.4%	28.4%	29.7%	30.6%	30.4%	30.4%
Recurring NPAT	24.8%	28.3%	28.2%	30.9%	30.6%	30.9%	31.5%	27.5%	29.0%	28.1%	28.3%	30.1%	31.6%	30.6%	30.7%
SG&A/Sales	-29.0%	-26.8%	-26.0%	-23.3%	-22.8%	-22.6%	-22.4%	-27.6%	-26.1%	-26.5%	-25.3%	-23.7%	-22.9%	-24.1%	-21.5%
Selling and distribution expenses/Sale	-23.5%	-21.8%	-21.4%	-18.6%	-18.3%	-18.2%	-18.1%	-22.9%	-20.7%	-22.4%	-20.3%	-19.6%	-17.8%	-20.0%	-16.7%
Administrative expenses/Sales	-5.5%	-5.1%	-4.6%	-4.7%	-4.5%	-4.4%	-4.3%	-4.7%	-5.4%	-4.1%	-5.1%	-4.2%	-5.1%	-4.1%	-4.9%
Effective tax rate (%)	-23%	-23%	-23%	-24%	-24%	-24%	-24%	-23%	-23%	-23%	-23%	-24%	-24%	-24%	-25%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: Earnings revisions

Nongfu Spring (9633.HK)									
RMB mn	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Consolidated P&L									
Revenue									
Packaged drinking water products	19,877	21,152	22,495	20,147	21,683	23,186	(1.3%)	(2.4%)	(3.0%)
Tea beverage products	25,464	29,377	33,490	25,464	29,436	33,116	0.0%	(0.2%)	1.1%
Functional beverage products	6,651	7,426	8,177	6,937	8,071	9,049	(4.1%)	(8.0%)	(9.6%)
Juice beverage products	5,952	6,815	7,633	5,952	6,815	7,633	0.0%	0.0%	0.0%
Other products	1,427	1,555	1,664	1,427	1,555	1,664	0.0%	0.0%	0.0%
Total	59,370	66,326	73,459	59,927	67,561	74,648	(0.9%)	(1.8%)	(1.6%)
YOY Growth %									
Revenue									
Packaged drinking water products	6%	6%	6%	8%	8%	7%			
Tea beverage products	18%	15%	14%	18%	16%	13%			
Functional beverage products	15%	12%	10%	20%	16%	12%			
Juice beverage products	15%	15%	12%	15%	15%	12%			
Other products	9%	9%	7%	9%	9%	7%			
Total	13%	12%	11%	14%	13%	10%			
Operating profit									
Packaged drinking water products	7,223	7,380	7,664	7,357	7,667	7,969	(1.8%)	(3.7%)	(3.8%)
Tea beverage products	12,240	14,345	16,683	12,332	14,508	16,577	(0.7%)	(1.1%)	0.6%
Functional beverage products	3,118	3,504	3,915	3,304	3,889	4,431	(5.6%)	(9.9%)	(11.6%)
Juice beverage products	2,027	2,388	2,740	2,135	2,510	2,875	(5.0%)	(4.9%)	(4.7%)
Other products	514	570	620	523	579	630	(1.6%)	(1.6%)	(1.6%)
Margin									
Packaged drinking water products	36.3%	34.9%	34.1%	36.5%	35.4%	34.4%	(0.2%)	(0.5%)	(0.3%)
Tea beverage products	48.1%	48.8%	49.8%	48.4%	49.3%	50.1%	(0.4%)	(0.5%)	(0.2%)
Functional beverage products	46.9%	47.2%	47.9%	47.6%	48.2%	49.0%	(0.7%)	(1.0%)	(1.1%)
Juice beverage products	34.1%	35.0%	35.9%	35.9%	36.8%	37.7%	(1.8%)	(1.8%)	(1.8%)
Other products	36.1%	36.7%	37.3%	36.7%	37.3%	37.8%	(0.6%)	(0.6%)	(0.6%)
Consolidated P&L									
Total Sales	59,370	66,326	73,459	59,927	67,561	74,648	-0.9%	-1.8%	-1.6%
COGS	-23,342	-25,944	-28,293	-23,371	-26,212	-28,623	-0.1%	-1.0%	-1.2%
Gross Profit	36,029	40,382	45,167	36,556	41,349	46,026	-1.4%	-2.3%	-1.9%
SG&A	-13,532	-14,997	-16,442	-13,648	-15,253	-16,686	-0.9%	-1.7%	-1.5%
Other operating income/(expense)	814	804	757	814	804	757	0.0%	0.0%	0.0%
EBIT	23,311	26,188	29,482	23,723	26,899	30,097	-1.7%	-2.6%	-2.0%
Depreciation	-3,810	-4,251	-4,712	-3,810	-4,251	-4,712	0.0%	0.0%	0.0%
Amortization	21	24	26	21	24	26	0.0%	0.0%	0.0%
EBITDA	27,099	30,416	34,168	27,511	31,127	34,783	-1.5%	-2.3%	-1.8%
Net finance costs	474	618	796	474	627	816	0.0%	-1.4%	-2.5%
Other non-op. rev/ (exp)	-0	-0	-	-0	-	-0			
Pretax income	23,785	26,807	30,278	24,197	27,526	30,913	-1.7%	-2.6%	-2.1%
Provisions for taxes	-5,741	-6,471	-7,309	-5,841	-6,645	-7,462	-1.7%	-2.6%	-2.1%
Minority interest (I/S item)	-	-	-	-	-	-			
Reported NPAT	18,043	20,336	22,969	18,356	20,882	23,451	-1.7%	-2.6%	-2.1%
YoY Growth %									
Sales	13.0%	11.7%	10.8%	14.0%	12.7%	10.5%			
GP	13.3%	12.1%	11.8%	14.9%	13.1%	11.3%			
SG&A	10.4%	10.8%	9.6%	11.4%	11.8%	9.4%			
EBIT	14.2%	12.3%	12.6%	16.3%	13.4%	11.9%			
EBITDA	14.1%	12.2%	12.3%	15.8%	13.1%	11.7%			
NPAT	13.7%	12.7%	12.9%	15.7%	13.8%	12.3%			
Margins (on total sales)									
GP	60.7%	60.9%	61.5%	61.0%	61.2%	61.7%	ppt	ppt	ppt
SG&A	22.8%	22.6%	22.4%	22.8%	22.6%	22.4%	0.0%	0.0%	0.0%
EBIT	39.3%	39.5%	40.1%	39.6%	39.8%	40.3%	-0.3%	-0.3%	-0.2%
EBITDA	45.6%	45.9%	46.5%	45.9%	46.1%	46.6%	-0.3%	-0.2%	-0.1%
NPAT	30.4%	30.7%	31.3%	30.6%	30.9%	31.4%	-0.2%	-0.2%	-0.1%
Recurring NPAT	30.6%	30.9%	31.5%	30.9%	31.1%	31.6%	-0.2%	-0.2%	-0.1%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Nongfu Spring

Price Target Risks and Methodology - Nongfu Spring

We are Buy rated on Nongfu. Our 12-m TP of HK\$59.9 is based on a 30x target 2027E P/E discounted back to mid-2027 using an 8.5% CoE.

Key risks: Lower-than-expected tea/water sales momentum; higher-than-expected cost inflation; more intense beverage industry competition.

9633.HK	12m Price Target: HK\$59.90	Price: HK\$42.22	Upside: 41.9%
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Buy		GS Forecast				
Market cap: HK\$474.8bn / \$60.6bn Enterprise value: HK\$460.3bn / \$58.7bn 3m ADTV: HK\$295.9mn / \$37.8mn China China Consumer Staples M&A Rank: 3 Leases incl. in net debt & EV?: Yes			12/25	12/26E	12/27E	12/28E
		Revenue (Rmb mn) New	52,552.9	59,370.4	66,326.3	73,459.2
		Revenue (Rmb mn) Old	52,552.9	59,927.3	67,560.7	74,648.4
		EBITDA (Rmb mn)	23,759.4	27,098.9	30,415.8	34,168.2
		EPS (Rmb) New	1.44	1.62	1.82	2.06
		EPS (Rmb) Old	1.44	1.64	1.87	2.10
		P/E (X)	27.4	22.5	20.0	17.7
		P/B (X)	11.3	8.8	7.6	6.5
		Dividend yield (%)	2.5	3.1	3.5	3.9
		CROCI (%)	30.6	24.8	26.4	27.6
			6/25	12/25	6/26E	12/26E
		EPS (Rmb)	0.69	0.76	0.80	0.82

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 17 Jul 2026 close.

Disclosure Appendix

Reg AC

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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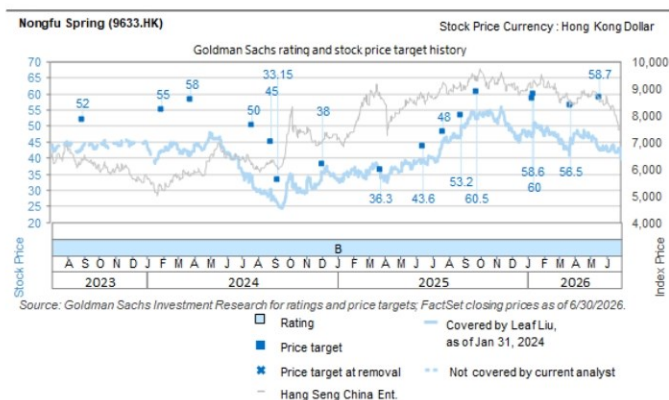
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Target price history table(s)

Nongfu Spring (9633.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
10-Jul-26	61.60	39.74
22-May-26	58.70	42.60
25-Mar-26	56.50	46.42
14-Jan-26	60.00	50.70
12-Jan-26	58.60	48.12
27-Sep-25	60.50	52.20
28-Aug-25	53.20	49.56
25-Jul-25	48.00	46.50
16-Jun-25	43.60	39.75
26-Mar-25	36.30	33.70
05-Dec-24	38.00	35.05
10-Sep-24	33.15	25.40
28-Aug-24	45.00	27.05
24-Jul-24	50.00	30.75
27-Mar-24	58.00	41.25
31-Jan-24	55.00	42.35
30-Aug-23	52.00	42.75

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